

Core: Business Case

Chapter 2: Business Case Justification

Chapter Objectives

In this chapter, we will identify the role of the business case in a project framework by:

- Positioning the business case as a key guiding tool
- Distinguishing between content for the business case versus other project documents
- Identifying business case justification analysis methods

Business Case Justification



The Role of the Business Case

Analyzing Costs and Benefits

Purpose of the Business Case

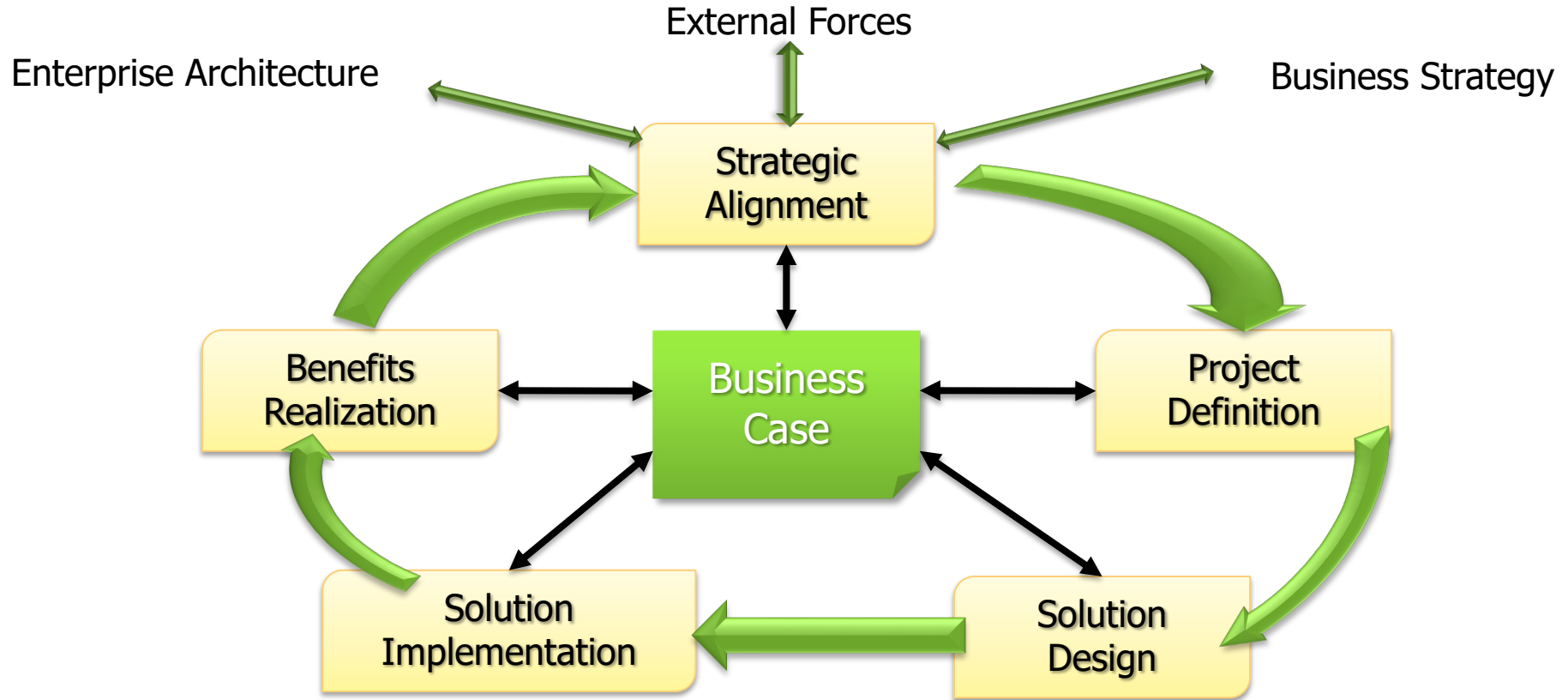
- Describes and justifies a potential project from a high level
 - Why is the project needed?
 - How does the project align with the needs of the business?
 - What are the solution alternatives?
 - What is the analysis of the various alternatives?
 - Which solution is recommended and why?
 - What are the pros and cons of the “do nothing” solution?
 - What resources need to be expended for the recommended solution?
 - Is funding a given solution justified (revenue, cost savings, etc.)?
 - How important is this project to the business?

Purpose of the Business Case (continued)

- Provides the opportunity to present an analysis of the project
 - Captures knowledge already collected
 - Refines knowledge that needs further clarification
 - Shares information with potential project stakeholders
- Makes a recommendation



Business Case as Guiding Document



Discussion: What Should Be Included in a Business Case?



Statement	Yes	No
1. List of team members	☐	☐
2. Proof that the investment has value	☐	☐
3. A project management plan to implement the business case idea	☐	☐
4. Description of the capabilities that Meridian Financial has to deliver benefits	☐	☐
5. A list and/or description of resources required for implementation	☐	☐
6. The results of a feasibility study showing idea is or is not feasible	☐	☐
7. A list of all current ongoing projects at Meridian Financial	☐	☐
8. Intangible short- and long-term benefits of the business case idea	☐	☐
9. Tangible short- and long-term benefits of the business case idea	☐	☐
10. The detailed costs incurred by the business case idea	☐	☐

Discussion: What Should Be Included in a Business Case? (continued)



Statement	Yes	No
1. List of team members	☐	☒
2. Proof that the investment has value	☒	☐
3. A project management plan to implement the business case idea	☐	☒
4. Description of the capabilities that Meridian Financial has to deliver benefits	☒	☐
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7. A list of all current ongoing projects at Meridian Financial	☐	☒
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10. The detailed costs incurred by the business case idea	☐	☒

Three Aspects of Project Feasibility

- Business
- Financial
- Technical



Business Feasibility



Business

- Does it fit with the company's strategic mission and objectives?
- Do the external and internal market conditions support it?
- Is the timing right?
- Is the right organizational support structure in place?

Financial Feasibility

■ Financial

- Is the benefit worth the cost?
- Can the organization support ongoing costs?



Technical Feasibility



- Technical
 - Can the current technical infrastructure support it?
 - Do we have the technical skills and knowledge required?
 - Can we acquire the necessary technical skills and knowledge?
 - How will existing systems be impacted?

Identifying Proposed Solutions

- Describe the problem or the opportunity being considered
 - Features and scope of the project initiative
 - Planned outcomes
- List and analyze multiple methods of achieving a solution
 - Shorter but more costly?
 - Less expensive but not as complete or accurate?
 - Can part or all of it be outsourced?
 - Is there a product available now that will solve the problem?
 - Is there a way to do incremental delivery?
 - Is there a regulatory constraint that will force one method only?
- Recommend an option from those available
 - Present the rationale for the selection



Business Case Justification

The Role of the Business Case



Analyzing Costs and Benefits

Implementation Must Be Worth the Cost

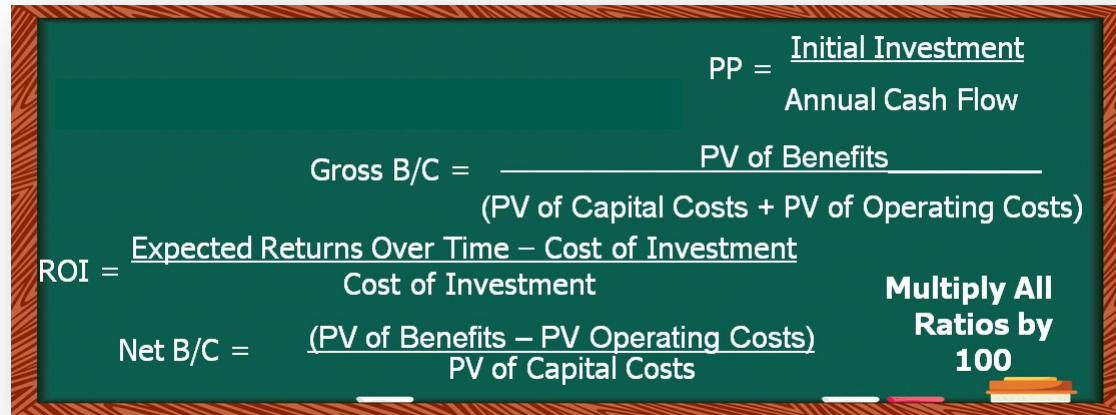
■ Steps in analyzing costs and benefits

1. List alternative proposed solution options
2. Identify tangible costs of each option
3. Identify tangible and intangible benefits of each option
4. Assign dollar values to as many costs as possible
5. Assign dollar values to as many benefits as possible
6. Determine the benefit to cost ratio for each alternative
7. Rank project proposals on the basis of their cost-benefit ratio



Cost and Benefit Justification Techniques

- A variety of complementary techniques are often used to test the financial soundness of implementing the business case including:
 - Return on Investment (ROI)
 - Payback Period (PP)
 - Benefit to Cost (B/C)
 - Net Present Value (NPV)



PP = $\frac{\text{Initial Investment}}{\text{Annual Cash Flow}}$

Gross B/C = $\frac{\text{PV of Benefits}}{(\text{PV of Capital Costs} + \text{PV of Operating Costs})}$

ROI = $\frac{\text{Expected Returns Over Time} - \text{Cost of Investment}}{\text{Cost of Investment}}$

Net B/C = $\frac{(\text{PV of Benefits} - \text{PV Operating Costs})}{\text{PV of Capital Costs}}$

Multiply All Ratios by 100

Activity 2.1: Tangible Benefits



Goal	Calculate tangible benefits with popular formulas																									
Team Format	Individually																									
Materials	Formulae on the previous slide																									
Tasks	Calculate the financials for the following project: <table><tr><th>Year</th><th>Project benefit</th><th>Capital costs</th><th>Operating costs</th><th>Net cash flow</th></tr><tr><td>0</td><td>0</td><td>25K</td><td>10K</td><td>(35K)</td></tr><tr><td>1</td><td>20K</td><td>0</td><td>3K</td><td>17K</td></tr><tr><td>2</td><td>20K</td><td>0</td><td>2K</td><td>18K</td></tr><tr><td>3</td><td>20K</td><td>0</td><td>2K</td><td>18K</td></tr></table> ROI _____ PP _____ Year 3 B/C _____	Year	Project benefit	Capital costs	Operating costs	Net cash flow	0	0	25K	10K	(35K)	1	20K	0	3K	17K	2	20K	0	2K	18K	3	20K	0	2K	18K
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Deliverable	Be prepared to share your results with the class																									
Duration	15 minutes																									

Activity 2.1: Tangible Benefits (continued)



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Discussion: Tangible vs. Intangible Benefits



Statement	Tangible	Intangible
1. Increased production	☐	☐
2. New opportunities	☐	☐
3. Improved health and welfare of staff	☐	☐
4. Quality improvements	☐	☐
5. Reduction in costs	☐	☐
6. Loss avoidance	☐	☐
7. Staff growth through education and learning	☐	☐
8. Social benefits	☐	☐
9. Regulatory compliance	☐	☐
10. Customer service	☐	☐

Discussion:

Tangible vs. Intangible Benefits (continued)



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1. Increased production	☐	☐
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7. Staff growth through education and learning	☐	☐
8. Social benefits	☐	☐
9. Regulatory compliance	☐	☐
10. Customer service	☐	☐

Activity 2.2: Intangible Benefits



Goal	Consider ways to quantify intangible benefits
Team Format	Teams arranged by the instructor
Tasks	For each of the intangible project benefits listed, identify a way that the benefit could be quantified 1. Improve online help for a customer application 2. Create internal employee safety awareness program 3. Replace tele-conferencing with video-conferencing
Deliverable	Be prepared to share your concepts with the class
Duration	15 minutes

Preparing the Business Case

- The best proposals are developed with I.T. serving as advisor rather than as the primary party responsible for producing the pitch
 - Affected business units identify the project's benefits
- I.T. and the business collaborate to determine economic feasibility
 - I.T. determines technical costs and benefits
 - The business determines business costs and benefits
 - Both need to address project management costs and benefits
 - Change management
 - Organizational design



Preparing the Business Case (continued)



- Two elements of a successful business case
 - Demonstrate a defined process for gathering the information and defining the business case
 - Use a standard business case template for the company defining the content and context of the business case

Business Case

Template

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Enter the company mission statement, text that describes the nature of this document, its role in the Software Development Lifecycle, or other text that clarifies its purpose.

Chapter Summary

In this chapter, we have identified the role of the business case in a project framework by:

- Positioning the business case as a key guiding tool
- Distinguishing between content for the business case versus other project documents
- Identifying business case justification analysis methods